FOR WEALTH HOLDERS, FAMILY OFFICES & FOUNDATIONS

Designing Capital for an Era of *Institutional Transition*

Workers are disengaging, AI is narrowing the way into work for the next generation, customers are walking, and trust is wearing thin. This paper shows how those shifts reach your portfolio and what you can do about them.

TRUST
70% are hesitant to trust people with different values. Trust is moving local.

WORK
20% of employees worldwide are engaged, and falling.

THE NEXT GENERATION
Young workers in AI-exposed jobs are 19% below trend. The entry level is closing.

AI CONCENTRATION
$700B+ in 2026 AI spend; three companies drive about 70% of expected S&P 500 earnings growth.

CLIMATE
The energy transition needs trillions a year, and growth-stage capital is scarce.

$124T IN MOTION
$124 trillion transfers through 2048, to heirs who think differently about money.

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Markets are quick to price volatility and slow to price *conditional participation:* people still enter institutions as workers, customers and citizens, and they stay while those institutions earn it.

Most portfolios rest on three assumptions that are getting harder to count on:

Workers stay engaged and loyal.

Engagement keeps falling, and more people are building independent economic lives.

Consumers stay loyal to brands.

Coordinated withdrawal can now move in weeks.

Trust erodes slowly enough to adapt.

It is eroding faster, and AI is accelerating the pressure.

What follows is a way to read that risk and practical steps to start on this week.

AT A GLANCE

3	3	5
FORCES	LAYERS	LENSES
Trust · Work · Capital concentration	Stability · Adaptation · Parallel Resilience	The Systems Lens Wheel

Three forces are reshaping the ground under long-duration capital. The response pairs clear-eyed forecasting with a portfolio built in three layers, read through five lenses, and most families have very little in the third layer.

01 · WHAT'S SHIFTED

Three forces *compounding at once*

This usually shows up quietly: a hiring freeze that never quite lifts, a customer who switches brands, an employee who stays but stops caring, a graduate who can't find a first job and starts building something of their own.

Three forces are driving it, and each one makes the others stronger.

FORCE 1

70%

hesitant to trust across difference

People are trusting each other less, and trusting what's close to home more

IN FINANCE TERMS: TRUST IS RETREATING INTO INSULARITY

- **70% of people** across 28 countries are now unwilling or hesitant to trust someone with different values or backgrounds (Edelman Trust Barometer 2026).
- **Only 21% of Americans** believe the next generation will be better off, down 9 points in a single year (32% globally).
- **The exception is close to home:** employees trust their own employer at 78%, more than any other institution. People still trust what they can see up close, starting with their own workplace.

What it means for capital: loyalty to large, distant institutions can no longer be assumed in a cash-flow model.

FORCE 2

20%

of employees worldwide engaged

Fewer young people can get in the door, and many already inside have checked out

IN FINANCE TERMS: WORK IS DECOUPLING FROM INSTITUTIONS

- **Only 20% of employees worldwide are engaged**, down from 21% the year before; 16% are actively disengaged (Gallup, State of the Global Workplace 2026).
- **AI is cutting entry-level hiring.** Employment of 22–25-year-olds in AI-exposed jobs is 19% below where it would be had it kept pace with less-exposed peers, and the gap has widened since 2025. It is happening through fewer hires, not layoffs (Stanford Digital Economy Lab, Aug 2026).
- **Many young people are building their own paths instead.** Locked out of the entry level, they are creating independent, creator and community-based economic lives.

What it means for capital: the next generation of workers and consumers is forming its habits outside the institutions most portfolios depend on.

FORCE 3

$700B+

2026 hyperscaler AI spend

A large share of the market now rides on one idea: AI

IN FINANCE TERMS: CAPITAL IS CONCENTRATING IN A SINGLE THEME

- **Over $700 billion** of 2026 AI infrastructure spending is planned by the largest hyperscalers (Yahoo Finance / Reuters, May 2026).
- **Three companies, Alphabet, Amazon and Meta, account for about 70%** of the rise in expected 2026 S&P 500 earnings (Charles Schwab via Yahoo Finance, May 2026).
- **The returns are still unproven at most companies:** MIT's NANDA study found 95% of organizations saw no measurable return on $30–40 billion of enterprise generative AI spend (MIT NANDA, "The GenAI Divide," Aug 2025).

What it means for capital: many portfolios hold far more AI exposure than their owners realize, much of it through index funds.

THE MULTIPLIER

$124T

changing hands through 2048

$124 trillion will transfer through 2048, $105 trillion to heirs and $18 trillion to charity, with over half coming from the top 2% of households (Cerulli Associates). The people receiving it hold the very participation assumptions described above. Designing capital that works across both generations is a defining stewardship challenge of the next decade.

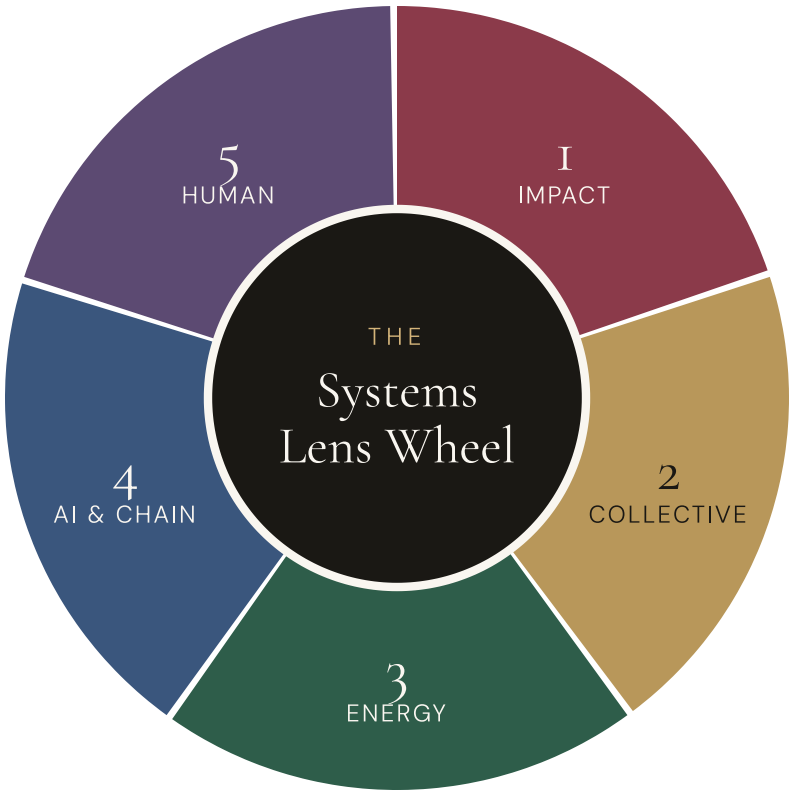
IN THE REAL WORLD

When Target reversed its DEI commitments in early 2025, organized consumer boycotts followed within weeks, foot traffic fell and the company warned of a full-year sales decline. Costco held its position, and its 94% employee retention rate stayed a competitive advantage. The gap between them came down to how much their employees and customers chose to stay.

Five lenses for seeing *what your holdings are exposed to*

A typical portfolio report sorts your wealth into stocks, bonds, real estate and private funds. It won't tell you which of those holdings depend on a workforce that is checking out, a climate that is shifting, or heirs who plan to move the money.

Twenty-five years across Acumen, UBS, city halls and the UN taught me to look at the same holding from several angles at once. These are the five lenses I use on every signal, holding and opportunity. Each comes with a question I bring to every holding.



1

Impact Materiality

Where environmental and social outcomes move cash flows, valuations and risk. More investors now treat these outcomes as financial factors.

Which real-world outcomes will show up in this cash flow?

2

Collective Impact

The operating system for change at population scale: common agenda, shared measurement, aligned activities, constant communication, a backbone organization.

Who else has to move for this to work?

3

Energy Transition and the Missing Middle

Trillions a year are needed through 2050; early-stage and de-risked infrastructure capital is plentiful, but growth and first-of-a-kind project capital is scarce.

Where is the capital gap, and who fills it?

4

AI and Blockchain

AI as a tool for analysis, risk and impact measurement; blockchain as shared, tamper-evident infrastructure for finance, land, supply chains and outcomes.

Is this technology strengthening people and trust, or working around them?

5

Resilient Human Capital

Mental health, engagement and Gen Z talent, a fast-growing share of the workforce and consumer base, with very different expectations of employers and brands.

Will the people this depends on stay?

Try it: circle the two lenses that feel most urgent for your capital right now, and start there.

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Building capital that holds up *across more than one future*

A resilient portfolio is built to do well across several possible futures, so you're ready for whichever one unfolds.

Think of a home built for a changing climate: a solid foundation, rooms you can rework as the family grows, and a backup system that keeps the lights on when the grid goes down. The three layers sit across asset classes; each describes a position relative to the transition underway.

THE THREE LAYERS · AND THE QUESTIONS TO BRING TO YOUR ADVISOR

LAYER 1

Stability

The foundation: holdings that keep their value through disruption.

- How much of our total portfolio rides on the same five or so AI companies, counting index funds?
- Which of our largest holdings depend on workforce or customer loyalty holding steady?

LAYER 2

Adaptation

The rooms you rework: companies changing with the transition.

- Which holdings are using AI to augment their people, and which are automating around them?
- Which companies are investing in their workforce the way Costco has, and is it showing up in retention?

LAYER 3

Parallel Resilience

The backup system: employee-, steward- and community-owned models that work if old institutions falter.

- What share of our capital sits in employee-owned, steward-owned or community-owned models?
- Can our catalytic capital (grants, PRIs, recoverable grants) seed this layer before we invest in it directly?

GETTING IT RIGHT

Patagonia moved to steward ownership in 2022 and has since routed about $180 million to its Holdfast trusts while remaining a multibillion-dollar business. Employee ownership plans now hold about $2.06 trillion for 15.1 million participants. Layer 3 is established infrastructure.

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Six signals, *read through the lens wheel*

Each quarter I pull a handful of signals that most portfolio reviews miss. None is a crisis on its own. Together, they show which way the ground is moving.

This page is refreshed every quarter.

SIGNAL	WHAT HAPPENED	LENS	WHAT IT MEANS FOR CAPITAL
The entry-level door is closing	Employment of 22–25-year-olds in AI-exposed jobs is now 19% below trend, widening since 2025 (Stanford, Aug 2026)	Resilient Human Capital	Talent pipelines and future consumer demand are forming outside your holdings
AI spending passes $700B	Hyperscalers' planned 2026 AI capex tops $700 billion (Reuters via Yahoo Finance, May 2026)	AI & Digital Infrastructure	A single theme now drives a large share of index risk; test whether you own it twice
Earnings growth rests on three names	Alphabet, Amazon and Meta drive about 70% of the rise in expected 2026 S&P 500 earnings (Schwab via Yahoo Finance, May 2026)	ESG & Impact Materiality	"Diversified" index exposure is more concentrated than it looks
Engagement slips again	Global engagement falls to 20%; managers 22%, individual contributors 19% (Gallup, Apr 2026)	Resilient Human Capital	Productivity assumptions in workforce-heavy holdings deserve a stress test
Trust moves local	70% hesitant to trust people with different values; employer trust holds at 78% (Edelman, Jan 2026)	Collective Impact	Value accrues to institutions people can see: employers, cities, communities
Ownership spreads	ESOPs now hold about $2.06 trillion for 15.1 million participants (NCEO, updated Jan 2026); Patagonia has routed about $180 million to its Holdfast trusts since 2022 (Fast Company, Nov 2025)	Layer 3 · Parallel Resilience	Alternative ownership has scale and a track record

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Five moves this week, *without changing your whole strategy*

You can start this week with a few questions for the people already managing your money.

1. **Count your AI exposure twice.** Ask your advisor what share of your total portfolio, public and private, rides on the same handful of AI names, directly and through index funds.

2. **Run one participation stress test.** Pick your three largest operating holdings. What happens to their cash flows if workforce engagement or customer loyalty drops 10% in a year?

3. **Map yourself on the three layers.** Roughly what share of your capital sits in Stability, Adaptation and Parallel Resilience? Most families find Layer 3 is close to zero.

4. **Put your catalytic capital to work upstream.** Is your philanthropy de-risking the next generation of investments, or operating in a silo from them?

5. **Bring the next generation into one real decision.** Choose one decision with real money attached and let them help shape it.

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The Systems Change *L.A.B.*

Changes in how people work, buy and trust tend to show up years before they reach earnings. The Systems Change L.A.B. is where I watch the participation economy form in real time, and where families and companies can help shape it.

WHY IT MEETS THIS MOMENT · THE L.A.B. ANSWERS EACH FORCE DIRECTLY

FORCE 1 · TRUST IS RETREATING

Rebuilding local trust

HEAL comes first: trust, safety and agency before any design. In Golden, residents aged 9 to 81 sat at the same tables, and the Mayor named the young people her youth council.

FORCE 2 · WORK IS DECOUPLING

Real roles for young people

As AI closes the entry level, the L.A.B. gives young people real roles as designers, fellows and engineers. A nine-year-old's question became a college capstone, with the city as the client.

FORCE 3 · CAPITAL IS CONCENTRATING

A place for catalytic capital

Community-designed, locally owned solutions are Parallel Resilience in practice, and the model has run at a 24:1 capital efficiency ratio.

THE MULTIPLIER · $124T CHANGING HANDS

Preparing the next generation of stewards

Rising-generation family members can join as fellows, mentors or sponsors, building stewardship judgment from inside the transition.

CO-CREATED BY DREAM TANK & THE PEAC INSTITUTE

Dream Tank

A decade of youth innovation practice. Creators of the HEAL · DREAM · BUILD · LAUNCH method and the Systems Change L.A.B.

PEAC Institute

Relational systems-change methodology and co-developer of the HEAL framework. UN ECOSOC Special Consultative Status since 2020; a 2017 Nobel Peace Prize coalition partner.

For decades, Dream Tank and PEAC have each shown, in different settings, that when the people closest to a problem help design the answer, trust and participation return.

“

If we don't have the future in the room when we're designing the future, what are we doing?

THE PREMISE · DREAM TANK

The L.A.B. brings young leaders, intergenerational mentors, universities and city partners into structured design cycles. Each cycle ends in a **Local Action Blueprint** handed to city leadership with a clear path to implementation.

THE METHOD · A COMMUNITY DEFINES IT. YOUTH DESIGN IT. EVERYONE BUILDS IT.

01
HEAL
Trust, safety, and agency come first.

02
DREAM
Children imagine the solutions, unbounded.

03
BUILD
Students and mentors design them together.

04
LAUNCH
The community builds it together.

TRACK RECORD

DREAM TANK BRINGS

10	10K+	100+	80+	3	24:1
Years of youth-led work	Young people reached	Fellows trained	Youth-led innovations	Colorado laws shaped by youth voices	Capital efficiency ratio

PEAC INSTITUTE BRINGS

2017	2020	1	60
Nobel Peace Prize, awarded to ICAN, the coalition PEAC partners in	UN ECOSOC Special Consultative Status, held since	Block from UN Headquarters: the ecosystem's New York home	Young people at the first event of the UNGA season

SEEN AND USED AT THE WHITE HOUSE · THE UNITED NATIONS · DAVOS · COLORADO STATE LEGISLATURE · BOULDER CITY COUNCIL

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WHAT'S LIVE NOW

Golden, Colorado · the first citywide Systems Change L.A.B.

August 7–8, 2026 · impact report

- **About 90 residents, ages 9 to 81,** designed solutions to real city challenges over a one-day workshop and a community pitch night, with 15 cross-sector mentors at the tables.
- **4+ youth-led blueprints** pitched to community leaders: turning city trash into public art, a self-regulating e-bike speed monitor, right-of-way safety policy, and food security.
- **The Mayor named the young people her new youth council.** Built in a single month, delivered within budget, and featured in The Golden Transcript.
- **Summer 2027** grows it into a three-month program: 20 council mentors, 12 fellows, a 52-person accelerator and a 200-person pitch event.
- **Championed by Golden's mayor,** a National League of Cities board member, and funded toward the 2027 summer season by Colorado Gives.

Colorado School of Mines capstone

Sept 2026–May 2027 · story

- **Nine seniors from five engineering disciplines** picked up the e-bike safety work 34 days after the Golden L.A.B. The L.A.B. is their client.
- **Two deliverables:** a tested street-safety solution Golden can act on, and a replicable community-sourced engineering model for other cities. Community listening sessions drive the design.

The Biometric Peace Index · In Truth with PEAC Institute

September 22, 2026 · briefing · story

- **A one-day Launch Lab, designed in 48 hours,** co-designing the world's first Biometric Peace Index with leaders from seven sectors, including private wealth, live from New York and online.
- **In Truth's prototype data:** across 131 communities, a synchronized meditation lowered heart rates about 10 bpm and lifted the Index from about 50 to 80.
- **The room's strongest next move** was a global youth design challenge, which is what the L.A.B. is built to run: produced by Dream Tank and PEAC as a full Systems Change L.A.B., reaching youth through sports, music and festivals and In Truth's 15,000-child football program.

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> *Peace as measurable critical infrastructure, and the Index as a "philanthropic compass" that tells private capital where to flow.*
>
> The chair of a family office in the room at the In Truth Launch Lab, making the investment case in capital's own language

NEW · L.A.B.S FOR COMPANIES AND INSTITUTIONS

Corporate and institutional teams bring a real problem (workforce engagement, trust, the next-generation customer) and work it through the L.A.B. method with young leaders and systems thinkers, in days.

WHY IT MATTERS TO CAPITAL

Early signal

Participants sit where all three forces meet: eroding trust, AI-driven displacement and parallel economies. Watching what they build is intelligence that rarely shows up in conventional research.

A seat for the next generation

Families can involve rising-generation members as fellows, mentors or sponsors, so they build stewardship judgment from inside the transition.

Sponsored design challenges

Partners can fund a challenge in a pilot city on a theme they care about: economic mobility, workforce participation, housing and land stewardship, climate resilience, or youth ownership models.

GETTING IT RIGHT

Boston's Youth Lead the Change gave young people real authority over $1 million in city spending, and later expanded to $2 million a year. Cambridge has run 12 participatory budgeting cycles directing more than $10.5 million to 79 community-designed projects. In both cities, giving young people authority over real budgets raised participation and trust.

Capital architecture, *upstream of allocation*

I offer capital architecture: the diagnostic and design work that comes before allocation decisions.

STEP 1

Capital Clarity Session

A focused conversation on where you are, what you're seeing and which layer needs attention first.

Best for anyone who read this and recognized their own portfolio

STEP 2

Portfolio Diagnostic

A stress test of 5–10 holdings for participation risk, AI concentration and next-generation alignment.

Best for families and offices ready to look under the hood

STEP 3

Capital Architecture Advisory

Designing allocation logic across all three layers, alongside your existing advisors.

Best for long-duration capital holders redesigning for the decade ahead

STEP 4

Systems Change L.A.B. partnership

Sponsoring a design challenge, a corporate lab or next-generation participation.

Best for families and companies who want a seat inside the transition

If you're asking what your role in this transition could be, I'd welcome the conversation.

SCHEDULE A CONVERSATION

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ABOUT THE AUTHOR

Heidi Cuppari is a capital flow architect, systems change advisor and founder of Dream Tank, with 25+ years at the intersection of sustainable finance, impact investing and institutional transition. She has raised and managed over $400 million across ESG, impact ventures and philanthropy.

- **Capital:** raised early funds for Acumen Fund alongside Jacqueline Novogratz and Seth Godin; managed a $400M+ portfolio at UBS Wealth Management; advises family offices and ultra-high-net-worth families on impact alignment and intergenerational wealth strategy.
- **Systems change:** in 2016 produced the Success 2020 Coalition, a cross-sector summit at the White House with President Obama's Office of Technology and Innovation, the U.S. State Department and leading private funders, including leaders from Elon Musk's companies who went on to help build Starlink, one of the answers to connecting the next 1.5 billion people online.
- **Institutions and convenings:** co-founded the Posner Center for International Development with Andrew Romanoff and secured its founding naming grant; produced convenings at the World Economic Forum in Davos, the United Nations and the White House.
- **Background:** B.A. in Organizational Behavior and Management, Brown University (Division I swimmer, academic scholarship); formerly held FINRA Series 7 and 66 licenses. Based in Boulder, Colorado.

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